

Tesla, Inc.
TSLA NASDAQ

Buy **\$368.76 ▲ 4.15%** 12M Price Target **\$425.00** 52-Week Range **\$297.38 – \$498.83**

Market Cap
\$1.46T

TSLA: Cybercab Buzz + Rare Earth Curveball Lifts Shares

WHAT HAPPENED

- Stock popped 4% today on a mix of Cybercab (Tesla's robotaxi) rollout excitement — Uber shares actually FELL because Wall Street sees Tesla eating into their turf — plus a cryptic Elon comment about rare earths that Barron's flagged as potentially disrupting another industry (likely magnets/motors supply chain).
- Options flow is screaming bullish: call buying is more than 2x put buying, and we're seeing massive unusual activity at \$360-\$365 strikes expiring this month — someone big is betting this rally continues into September expiration.

WHY IT MATTERS

Today's move is less about cars and more about the market re-rating Tesla as an autonomy/AI platform — when Uber drops on Tesla news, that tells you investors think the Cybercab is real and competitive. The rare earth comment matters because Tesla has been quietly working to design magnets that don't need Chinese rare earths, and if Musk hinted they cracked it, that's a huge geopolitical moat (China controls ~85% of rare earth processing). The August European registration data was mixed, but the market is clearly looking past near-term delivery weakness and pricing in the autonomy story. Watch for follow-through: if we break \$380 on volume, the next stop is likely \$400+ as short sellers cover.

POLICY & POLITICAL WATCH

The biggest overhang is the \$7,500 federal EV tax credit — the Trump administration's tax bill signed earlier this year phased it out for most buyers as of September 30, which is why Q3 deliveries could look artificially strong (pull-forward demand) and Q4 could be ugly. On the flip side, the administration's push to loosen NHTSA autonomous vehicle rules is a direct tailwind for Cybercab — federal preemption of state-by-state robotaxi rules would let Tesla scale nationally instead of fighting 50 regulatory battles. Also watch China tariffs: any escalation hits Shanghai Gigafactory economics, but Musk's rare-earth angle could actually turn tariff pressure into a competitive advantage if Tesla decouples from Chinese supply first.

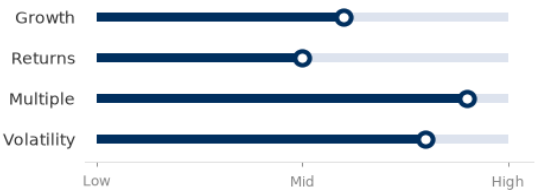
IS IT EXPENSIVE?

At ~\$1.46T market cap and roughly 170x forward earnings, you're paying \$170 for every \$1 Tesla earns next year — that's insane for a car company but defensible if you believe robotaxi becomes a real business. For context, Ford trades at ~7x and Toyota at ~10x. The only way this math works is if autonomy and energy storage compound at 30%+ for years — pay this price only if you're buying the platform story, not the car sales.

Key Data

Price (USD)	\$368.76
12M Price Target	\$425.00
Upside / (Downside)	+15.3%
Market Cap	\$1.46T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	171.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$400.00	\$375.00	\$340.00
6 Months	\$460.00	\$400.00	\$310.00
1 Year	\$525.00	\$425.00	\$290.00
2 Years	\$650.00	\$480.00	\$260.00
5 Years	\$900.00	\$600.00	\$220.00
10 Years	\$1400.00	\$800.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% on the week) and Energy are catching a bid — rising oil and bond yield anxiety are pushing money toward cash-flow safety and inflation hedges. Anything AI-adjacent with real deployment (like Tesla's autonomy story) is also getting flows.

COOLING OFF: Consumer Discretionary is down nearly 2% on the week — high rates are squeezing the consumer, which is normally bad for Tesla (it's technically in this sector), but TSLA is decoupling because it's trading like a tech/AI name now.

ROTATION WATCH: Money is quietly leaving broad consumer names and rotating into specific AI/autonomy winners plus defensive utilities — Tesla is benefiting from the AI leg of that rotation despite being classified as Consumer Disc.

RELATED PLAY: If Cybercab is real, the picks-and-shovels winners are LiDAR/sensor makers, but more importantly the power grid — robotaxis mean massive charging demand, which benefits utilities and grid infrastructure names like GEV or ETN.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every autonomy story, including Tesla's, ultimately runs on GPU compute for training.
- GEV (GE Vernova): Grid and power equipment — riding the data center + EV charging demand wave that Tesla's expansion accelerates.

TSLA CONTEXT: Tesla is leading its "peer group" today (traditional autos are flat to down) because it's no longer really an auto stock in the market's mind. That re-rating is powerful — it means TSLA trades on AI/autonomy sentiment, not quarterly delivery numbers, which is bullish until it isn't.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at \$368 with an EV credit cliff two weeks away.

POSITION SIZE: 3-5% of portfolio — this is a high-conviction growth name but the volatility (52-week range is \$297 to \$499) means you don't want it to blow up your book if Musk tweets something dumb.

ENTRY POINTS: Buy the dip to \$345-355, especially if Q4 delivery fears cause a shakeout in October. Full position only under \$330.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is Cybercab actually operating at scale in 2-3 US cities with clean safety data.

WHEN TO BAIL: If Cybercab launch slips past mid-2027, or a high-profile robotaxi accident triggers federal intervention, or Musk announces he's leaving Tesla — any of those three, exit immediately.

HEDGING: Buy protective puts (insurance that pays off if the stock drops) around the \$320 level for 3-6 months out — cheap insurance against the Q4 delivery air pocket. Or pair with a short on Ford or GM to isolate the "Tesla-specific" bet.